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Resumen de la Decisión de la Comisión

Case Background

- The allegation made in this case is that Meliá Hotels International, S.A. infringed Article 101 of the Treaty on the Functioning of the European Union and Article 53 of the EEA Agreement by engaging in anti-competitive practices. (Page 1)
- The company against which the allegations were made is Meliá Hotels International, S.A. (Page 1)
- The year of case initiation was 2017, when the Commission opened a procedure against Meliá. (Page 2)
- The violation involved a unique and continuous infringement related to vertical contracts between Meliá and tour operators, which restricted both active and passive sales of hotel accommodations. This was achieved through clauses in contracts that specified the markets where the agreements were valid, effectively limiting the ability of tour operators to sell Meliá's accommodations to consumers outside those specified countries. This conduct restricted competition by segmenting the market along national borders, constituting a restriction of competition by object under Article 101. (Pages 1–2)

Case Progression

- **Case Initiation:** The case was initiated against Meliá Hotels International, S.A. for infringing Article 101 of the Treaty on the Functioning of the European Union and Article 53 of the EEA Agreement, specifically regarding vertical contracts that restricted sales of hotel accommodations (Page 1).
- **Preliminary Investigation:** The Commission conducted a preliminary investigation which led to the issuance of a formal statement of objections. Evidence was found indicating that Meliá's contracts with tour operators included clauses that restricted sales based on geographical location (Page 1).
- **Statement of Objections issued:** A statement of objections was issued on February 2, 2017, detailing the nature of the infringement and the specific clauses in Meliá's contracts that were deemed anti-competitive (Page 1).
- **Defense Phase:** Meliá submitted a written response to the statement of objections and participated in an oral hearing. The company presented its defense regarding the legality of its contractual practices (Page 1).
- **Commission Decision:** On February 21, 2020, the Commission concluded that Meliá had indeed infringed competition laws and imposed a fine of €6,678,000. The decision

highlighted that the agreements restricted competition by differentiating consumers based on their country of residence (Pages 2–3).

- **Company Decision:** Following the Commission's decision, Meliá had the option to accept the fine and end the matter or to appeal the decision. The specifics of their decision were not detailed in the provided information (Page 3).

Market Definition

- The market considered in this case involved the distribution of hotel accommodations by Meliá through contracts with tour operators, specifically focusing on the restrictions placed on sales to consumers based on their country of residence. (Page 1)
- The relevant contracts included a clause that specified the applicable markets, which restricted the ability of tour operators to sell Meliá's hotel accommodations to consumers outside the designated countries. (Page 1)
- The Commission evaluated the contracts to determine that they constituted agreements that restricted competition, as defined under Article 101 of the Treaty on the Functioning of the European Union (TFUE). (Page 1)
- The assessment included analyzing the number of contracts that specified at least one country in the European Economic Area (EEE), which indicated the extent of the restriction on sales. (Page 2)
- The Commission concluded that the agreements differentiated between consumers based on their country of residence, thereby restricting the free sale of hotel accommodations across the EEE. (Page 2)
- The legal evaluation determined that the conduct of Meliá was intentional or at least negligent, leading to the imposition of a fine. (Page 2)
- The final decision included a calculation of the fine based on Meliá's sales volume during the infringement period, reflecting the seriousness of the competition law violation. (Page 3)

Legal & Economic Tests

- **Legal Test under Article 101(1) of the TFEU:** This test assesses whether the agreements between Meliá and the tour operators constitute a restriction of competition by object. In this case, it was determined that the contracts restricted the ability of tour operators to sell hotel accommodations freely across the EEA, thereby potentially leading to market partitioning along national borders. This assessment was based on the nature of the agreements and their impact on competition. (Page 2)
- **Assessment of the Applicability of Regulation (EU) No 330/2010:** This test evaluates whether the conduct of Meliá could be exempted under the block exemption regulation for vertical agreements. The conclusion was that Meliá's behavior did not meet the conditions for exemption, indicating that the agreements did not promote competition effectively and were not justifiable under the regulation. (Page 2)

- **Determination of the Duration of the Infringement:** This test involved establishing the timeframe during which the infringement occurred, which was identified as spanning from January 1, 2014, to December 31, 2015. This timeframe was crucial for calculating the penalties and understanding the extent of the infringement's impact on the market. (Page 2)

Conclusion

- The conclusion reached was that Meliá Hotels International, S.A. infringed Article 101 of the Treaty on the Functioning of the European Union and Article 53 of the EEA Agreement by engaging in practices that restricted active and passive sales of hotel accommodations through contracts with tour operators (Page 1).
- The Commission determined that Meliá's conduct was intentional or, at a minimum, negligent, warranting the imposition of a fine (Page 2).
- The basic amount of the fine was calculated based on Meliá's sales during the last complete financial year of its participation in the infringement, specifically considering the revenues generated in 2015 from hotel accommodation services (Page 2).
- Meliá confirmed that necessary measures had been taken to end the infringement, but the Commission insisted on ensuring compliance and preventing any similar future practices (Page 2).
- The final amount of the fine imposed on Meliá was set at €6,678,000, which reflected a 30% reduction due to Meliá's cooperation with the Commission beyond its legal obligations (Page 3).
- The infringement period was identified as spanning from January 1, 2014, to December 31, 2015, during which the relevant contracts were in effect (Page 2).
- No aggravating or mitigating circumstances were found in this case, which influenced the decision regarding the fine (Page 2).

[PDF] Case M.8231 – KUONI TRAVEL HOLDING / MTS GLOBE

Case Background

- The allegation made in this case pertains to a proposed concentration involving the acquisition of sole control over Mediterranean by Kuoni Travel Holding Ltd. (page 2).
- The company involved in the allegation is Kuoni Travel Holding Ltd., which is controlled by EQT VII, and the target company is Mediterranean (page 2).
- The year of case initiation is 2016, with the notification received on 12 October 2016 (page 2).
- The violation concerns the potential impact of the merger on competition within the market for hotel accommodation services and hotel intermediation, which could lead to a vertical relationship between the parties involved (page 6).
- The Commission assessed that the transaction did not raise serious doubts under any plausible market definition, indicating that the merger would not significantly impede

effective competition in the internal market (page 10).

Case Progression

- **Case Initiation:** The case was initiated with the notification of a proposed concentration involving Kuoni Travel Holding Ltd. acquiring control over MTS Globe, as detailed on page 1.
- **Preliminary Investigation:** The Commission assessed the transaction under Article 4 of the Merger Regulation, determining that it had an EU dimension due to the combined worldwide turnover exceeding EUR 5 billion and EU-wide turnover exceeding EUR 250 million for both parties (page 4).
- **Statement of Objections:** No Statement of Objections was issued in this case, as the Commission found no serious doubts regarding the transaction's compatibility with the internal market (page 10).
- **Defense Phase:** The parties submitted their defense regarding the relevant product markets, including B2B supply of destination management services and hotel intermediation, but no oral hearing was mentioned, indicating a straightforward assessment (pages 4–5).
- **Commission Decision:** The Commission decided not to oppose the transaction, concluding it was compatible with the internal market and the EEA Agreement, as stated on page 10.
- **Outcome:** The decision was adopted under Article 6(1)(b) of the Merger Regulation, and no further appeals or legal challenges were indicated, marking the end of the case (page 10).

Market Definition

- The relevant product market for the assessment of the transaction was identified as the B2B supply of destination management services, with a potential national geographic scope. (Page 4)
- The parties involved also submitted that the B2B supply of group tour packages, excluding airline reservations, constitutes a relevant product market, which is considered to be global in scope. (Page 5)
- The Commission left open the precise scope of the relevant product and geographic markets, indicating that the transaction does not raise serious doubts under any plausible market definition. (Page 5)
- The Commission previously assessed the existence of a market for hotel intermediation, considering it to be worldwide on the upstream side and at least national on the downstream side. (Page 5)
- The Commission also considered hotel accommodation services as a separate product market, which could potentially be segmented based on price/comfort level and ownership type, but ultimately left this open for consideration. (Page 6)
- The competitive assessment indicated that the transaction would not create horizontally affected markets, but would lead to a vertical relationship between upstream hotel

accommodation services and downstream hotel intermediation. (Page 6)

- The Commission's approach involved analyzing the parties' activities, which overlap in destination management services and hotel intermediation, but concluded that these activities are largely complementary and do not warrant further assessment. (Page 6)

Legal & Economic Tests

- **Legal Test for Concentration:** The transaction was assessed under Article 3(1)(b) of the Merger Regulation, which defines a concentration as the acquisition of sole control over another undertaking. In this case, Kuoni Travel Holding's acquisition of shares in various companies was evaluated to determine if it constituted a concentration. The legal test involved confirming that the transaction met the thresholds set by the regulation, specifically regarding control and share ownership. (Page 4)
- **EU Dimension Test:** The transaction was examined to establish whether it had an EU dimension, which requires that the combined aggregate worldwide turnover of the undertakings involved exceeds EUR 5,000 million, and each has an EU-wide turnover exceeding EUR 250 million without achieving more than two-thirds of their turnover within a single Member State. This test ensures that the merger falls under the jurisdiction of EU competition law. (Page 4)
- **Competitive Assessment:** The competitive assessment involved defining relevant markets, including the B2B supply of destination management services and hotel accommodation services. The Commission evaluated whether the transaction would raise serious doubts about its compatibility with the internal market. This included considering potential horizontal and vertical effects of the merger on competition. The assessment concluded that the transaction did not raise serious doubts under any plausible market definition, allowing for a more flexible approach to market definition. (Pages 5–6)

Conclusion

- The European Commission decided not to oppose the notified operation between Kuoni Travel Holding and MTS Globe, declaring it compatible with the internal market and the EEA Agreement (page 10).
- The decision was adopted under Article 6(1)(b) of the Merger Regulation and Article 57 of the EEA Agreement, indicating that the merger did not raise serious doubts regarding its compatibility (page 10).
- The Commission assessed that the transaction would not lead to any horizontally affected market, meaning there were no significant overlaps in the relevant markets that could harm competition (page 6).
- A vertical relationship was identified between the hotel accommodation services provided by Scandic Hotel Groups and the downstream hotel intermediation activities of Kuoni GTS AG, but this was not deemed problematic for competition (page 6).

- The relevant product markets considered included hotel accommodation services and B2B supply of destination management services, but the precise definitions were left open as the transaction did not raise serious doubts under any plausible market definition (pages 4 and 6).
- No remedies or fines were imposed as the Commission found the transaction did not pose any competition concerns (page 10).

What other questions do you have?